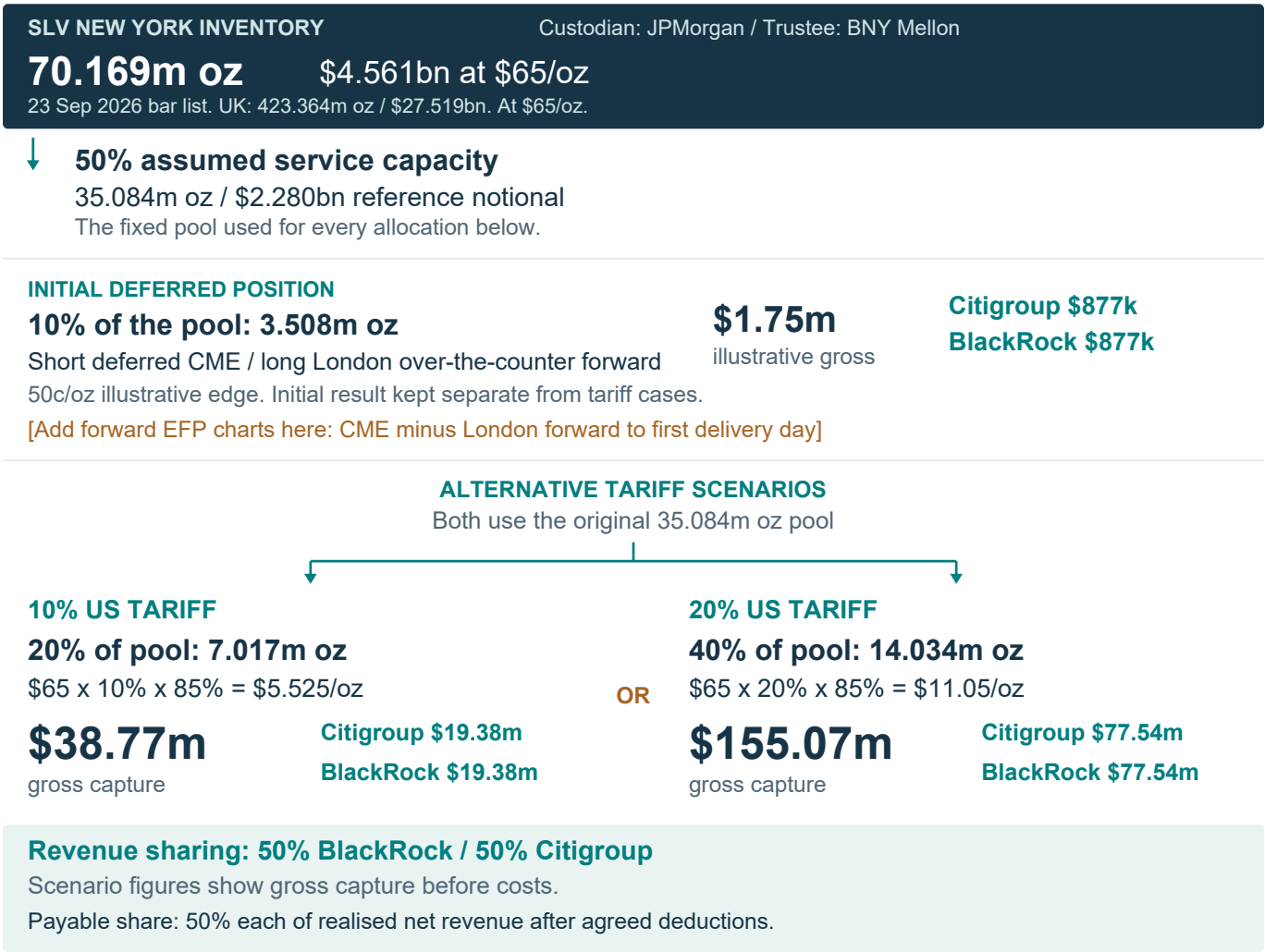


Custody proposal for BlackRock

Appoint Citigroup as successor custodian for SLV, combining bullion safekeeping with trading execution and a 50:50 share of net trading revenue with BlackRock.

Custody flows and the trading opportunity

Deployment and tariff scenarios



Custody flows and the trading opportunity

Worked example: 50 lots / 250,000 oz · CME premium

CME +\$0.50/oz | Sell CME / buy London

50 lots / 250,000 oz | London over-the-counter forward: \$60.00/oz

ETF ACTIVITY / OUR CUSTODY TEAM

SELL FLOW / RELEASE NEW YORK SILVER

- 1 **Investor sells SLV shares**
Buyer pays the investor and receives the shares.
- 2 **Market maker chooses redemption**
Routes shares to an authorised participant.
- 3 **Surrender shares for redemption**
Authorised participant delivers whole baskets through The Depository Trust Company.
- 4 **Trustee authorises silver release**
BNY Mellon checks shares, fees and conditions, then instructs our custody team.
- 5 **Release New York silver**
250,000 oz leaves the ETF holdings for the authorised participant or its client.
- 6 **Confirm delivery and cancel shares**
Our custody team confirms delivery.
BNY Mellon then cancels the redeemed shares.

Released silver can stay in the vault, outside ETF holdings.

Desk access follows the standing arrangement in this example.

BUY FLOW / ALLOCATE LONDON SILVER

- 1 **Investor buys SLV shares**
Investor pays the seller and receives the shares.
- 2 **Market maker requests new shares**
An authorised participant places a creation order.
- 3 **Source eligible London silver**
Authorised participant uses its own or client metal, or buys eligible bars from a dealer.
- 4 **Deliver London silver to the trust**
250,000 oz is transferred into the trust's London custody account.
- 5 **Allocate bars to ETF holdings**
Our custody team identifies and checks bars, then confirms allocation to BNY Mellon.
- 6 **Trustee issues new shares**
BNY Mellon issues shares through The Depository Trust Company.

OUR TRADING DESK / BANK PRINCIPAL

- 1 **SOURCE REPLACEMENT METAL**
Source replacement silver in London.
- 2 **EXECUTE THE TWO MARKET LEGS**
Sell 50 CME silver futures at \$60.50.
Buy 250,000 oz London forward at \$60.
Match the CME first delivery day.
- 3 **POST CASH MARGIN**
Post \$1.5m cash as initial margin.
Funding at 1% a year: \$1,250/month.
Allow cash for variation margin separately.
- 4 **PREPARE FOR FORWARD DELIVERY**
Place released eligible New York bars on warrant for CME forward delivery.
- 5 **RECONCILE AND DISCLOSE**
Reconcile metals, cash and all costs for disclosure to BlackRock.
- 6 **PAY BLACKROCK'S REVENUE SHARE**
Pay BlackRock 50% of realised net trading revenue in cash, after agreed costs.
Citigroup retains 50%.

SLV LOCATION CHANGE

New York -250k oz / London +250k oz

Total fund silver is unchanged. The location shift does not itself require a shipment.

ONE MONTH / FULL 50c CAPTURE

Gross \$125,000

Less: shipment \$20,000; funding \$1,250

\$103,750

After specified costs

PROPOSED 50:50 SPLIT

Citigroup \$51,875

BlackRock \$51,875

Custody flows and the trading opportunity

Worked example: 50 lots / 250,000 oz · CME discount

CME -\$0.50/oz | Buy CME / sell London

50 lots / 250,000 oz | London over-the-counter forward: \$60.00/oz

ETF ACTIVITY / OUR CUSTODY TEAM

SELL FLOW / RELEASE LONDON SILVER

- 1 **Investor sells SLV shares**
Buyer pays the investor and receives the shares.
- 2 **Market maker chooses redemption**
Routes shares to an authorised participant.
- 3 **Surrender shares for redemption**
Authorised participant delivers whole baskets through The Depository Trust Company.
- 4 **Trustee authorises silver release**
BNY Mellon checks shares, fees and conditions, then instructs our custody team.
- 5 **Release London silver**
250,000 oz leaves the ETF holdings for the authorised participant or its client.
- 6 **Confirm delivery and cancel shares**
Our custody team confirms delivery.
BNY Mellon then cancels the redeemed shares.

Released silver can stay in the vault, outside ETF holdings.

Desk access follows the standing arrangement in this example.

BUY FLOW / ALLOCATE NEW YORK SILVER

- 1 **Investor buys SLV shares**
Investor pays the seller and receives the shares.
- 2 **Market maker requests new shares**
An authorised participant places a creation order.
- 3 **Source eligible New York silver**
Authorised participant uses its own or client metal, or buys eligible bars from a dealer.
- 4 **Deliver New York silver to the trust**
250,000 oz is transferred into the trust's New York custody account.
- 5 **Allocate bars to ETF holdings**
Our custody team identifies and checks bars, then confirms allocation to BNY Mellon.
- 6 **Trustee issues new shares**
BNY Mellon issues shares through The Depository Trust Company.

OUR TRADING DESK / BANK PRINCIPAL

- 1 **SOURCE REPLACEMENT METAL**
Source replacement silver in New York.
- 2 **EXECUTE THE TWO MARKET LEGS**
Buy 50 CME silver futures at \$59.50.
Sell 250,000 oz London forward at \$60.
Match the CME first delivery day.
- 3 **POST CASH MARGIN**
Post \$1.5m cash as initial margin.
Funding at 1% a year: \$1,250/month.
Allow cash for variation margin separately.
- 4 **PREPARE FOR FORWARD DELIVERY**
Receive New York metal through CME.
Cancel warrants before ETF allocation;
deliver released London metal forward.
- 5 **RECONCILE AND DISCLOSE**
Reconcile metals, cash and all costs for disclosure to BlackRock.
- 6 **PAY BLACKROCK'S REVENUE SHARE**
Pay BlackRock 50% of realised net trading revenue in cash, after agreed costs.
Citigroup retains 50%.

SLV LOCATION CHANGE

New York +250k oz / London -250k oz

Total fund silver is unchanged. The location shift does not itself require a shipment.

ONE MONTH / FULL 50c CAPTURE

Gross \$125,000

Less: shipment \$20,000; funding \$1,250

\$103,750

After specified costs

PROPOSED 50:50 SPLIT

Citigroup \$51,875

BlackRock \$51,875

Revenue sharing

50%**BlackRock**
of net trading revenue**50%****Citigroup**
of net trading revenue

Turn physical logistics bottlenecks into revenue opportunities.

Combine custody, inventory positioning and Citi's trading reach to capture value when metal is scarce in one location and available in another. Share the realised net trading revenue equally with BlackRock.

Future growth ideas

Grow the Citigroup / BlackRock revenue share and partnership.

FIRST-EVER AMBITION

A dividend from location revenue

Aim to be the first physical precious-metals ETF to pay a dividend funded by location revenue. Reinvest part of BlackRock's share in a distinctive investor proposition.

BONDED MARKET ACCESS

India, China and IIBX

Add approved bonded locations: IIBX routes in India and international gold vaults in China. Aim to reduce onshore customs friction; use Citi's client base and expertise to monetise regional dislocations.

NEW MULTI-LOCATION FUNDS

Platinum and palladium

Extend the revenue-share model to more metals and locations. Our desk expects higher tariff risk in platinum and palladium, opening more opportunities to capture dislocations.

TRADING OPTIONALITY

More bar formats and purities

Approve commonly traded shapes, sizes and purities. Give Citi's desk more sourcing and delivery choices to capture location and format spreads for the shared revenue pool.

Operational and regulatory risk

Tariff uncertainty shifts demand. A multi-location custody network creates more ways to respond.

JANUARY–MARCH 2025

Tariff fears draw silver into US warehouses

Q1 US bullion imports: 91.1m oz.
Most went to CME-approved warehouses.

Metal moves towards US delivery

Metals Focus / Silver Institute

2–3 APRIL 2025

Bullion exclusions ease tariff fears

The silver EFP premium fell sharply after the 2 April announcement.

The US premium compresses

3 April market report

OCTOBER–DECEMBER 2025

London tightness pulls metal back

Q4 US bullion exports: 101.9m oz, mostly to London as liquidity tightened.

Metal moves back towards London

Metals Focus / Silver Institute

PROTECT THE METAL

Insurance and security

Insured custody, secure transport and independent bar audits across the vault network.

KEEP FLOWS MOVING

Settlement and liquidity

Coordinate metal availability, cash and release instructions as creations and redemptions settle.

MANAGE LOCATION

Customs and geography

Build origin, tariff treatment and bonded routes into inventory and delivery decisions.

Operational innovation

Citi is already delivering blockchain-enabled cash payments.

"Citi's Services Business Pioneers Live Transactions on Swift's Ledger"

Citi headline excerpt · 2 September 2026

LIVE CASH SERVICE

24/7 payments

Siam Commercial Bank went live with Citi's integrated Token Services and USD Clearing in July 2026.

RECENT MILESTONE

Minutes, on a weekend

DBS and Citi completed a Singapore-US payment in minutes on 5 September, using Swift's ledger pilot.

PARTNERSHIP OPPORTUNITY

Connect cash and metal

Bring eligible cash services into BlackRock's workflow: payment, title confirmation and shared reconciliation.

Proposed appointment and next steps

The ask: a joint custody and execution assessment with BlackRock, the trustee and authorised participants.

Agree the custody mandate, revenue-sharing terms and transition plan with BlackRock, the trustee and authorised participants.